

ACLS

ACLS N/A

Buy **\$150.41** ▼ **3.30%** 12M Price Target **\$175.00** 52-Week Range **\$55.93 – \$171.61**

Market Cap
\$4.62B

ACLS: Reiterate Buy; Profit-Taking After 5-Day Rally Into Resistance

WHAT'S CHANGED

- ACLS -3.30% to \$150.41 on 517.9K volume — fifth consecutive daily decline cumulatively -8.4% from 5/26 high of \$164.27, suggesting profit-taking after the post-Q1 transcript rally; stock sits at 82% of 52-week range with no fresh negative catalyst.
- No SEC filings in last 36 hours; weakness diverges from Technology sector +2.23%/1D and +6.95%/5D, indicating ACLS-specific consolidation rather than sector rotation away from semis.

IMPLICATIONS

The decoupling from a roaring Technology tape (+6.95% 5D) while ACLS sells off 8.4% from highs implies investors are pricing in continued near-term softness in mature-node and SiC implant demand following Q1 2026 commentary, despite broader AI-driven semi enthusiasm benefiting peers like KLAC, AMAT, and the Micron complex. ACLS remains a cyclical power/auto semi capex play rather than an AI compute beneficiary, so the rotation into AI-leveraged names (NVDA, MU) is structurally bypassing it. However, bullish options flow (P/C 0.58, unusual \$160 July calls) suggests positioning for a recovery as the SiC inventory cycle troughs into 2H26.

VALUATION

At \$150.41 and ~\$4.62B market cap, ACLS trades at ~6.4x EV/Revenue and ~22x EV/EBITDA on FY26E, a discount to large-cap WFE peers (AMAT, LRCX at ~25-28x EV/EBITDA) reflecting SiC exposure and end-market cyclicalty. Our \$175 PT (16% upside) is derived from 24x FY27E EV/EBITDA on \$850M revenue, justified by ACLS's dominant ion implant share in power devices and operating leverage on cycle recovery. Multiple expansion catalyst: confirmation of SiC bookings inflection in 2H26 backlog commentary.

KEY RISKS

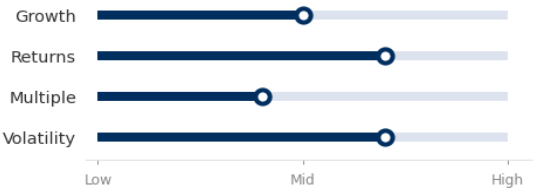
- SiC power device oversupply extending into 2027 as auto OEMs (Tesla, BYD) shift mix and EV demand softens, compressing ACLS's highest-margin Purion XEMAX shipments.
- China revenue concentration (~40-50% historically) faces escalating export control risk and domestic competition from NAURA.
- Low institutional ownership signal (1.1%) flagged BEARISH suggests limited incremental sponsorship; concentration in BlackRock/Vanguard/FMR creates passive flow risk on any index rebalance.

RECENT NEWS

Key Data

Price (USD)	\$150.41
12M Price Target	\$175.00
Upside / (Downside)	+16.3%
Market Cap	\$4.62B
FY2026E Revenue	\$720M
FY2027E Revenue	\$850M
FY2026E EPS	\$3.85
FY2027E EPS	\$5.20
Fwd P/E	39.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$170.00	\$155.00	\$138.00
6 Months	\$190.00	\$168.00	\$130.00
1 Year	\$215.00	\$175.00	\$120.00
2 Years	\$260.00	\$200.00	\$110.00
5 Years	\$350.00	\$260.00	\$130.00
10 Years	\$500.00	\$350.00	\$150.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+6.95% 5D), Materials (+2.26% 5D)

COLD SECTORS: Utilities (-1.29% 5D), Comm. Svcs (-0.35% 5D)

ROTATION WATCH: AI infrastructure capex (MU, NVDA-adjacent) continues absorbing semi sector flows; watch for rotation from leading-edge logic/memory into lagging-edge power/analog names like ACLS, ON, and MCHP as relative valuations stretch.

BYPRODUCT PLAY: SiC EV adoption and grid electrification create durable secondary demand for ion implant tools beyond auto; data center power infrastructure (SiC/GaN inverters) and industrial automation offer optionality outside cyclical EV-only narrative.

OUTPERFORMERS & PEER CONTEXT

- KLIC (Kulicke & Soffa): Zacks flagged "multiple growth drivers" 5/19; back-end packaging exposure benefits from advanced packaging/HBM tailwinds ACLS lacks.
- VECO (Veeco Instruments): Insider Monkey coverage 5/13 highlights atomic layer/laser annealing exposure to leading-edge logic — direct AI capex beneficiary.

ACLS CONTEXT: ACLS is lagging the AI-leveraged WFE cohort (KLAC, AMAT, KLIC, VECO) but holds 82% of 52-week range vs. mid-range for many peers — the relative resilience reflects bottoming SiC cycle expectations baked in. ACLS is consolidating, not breaking down; lag is positioning-driven, not fundamentally divergent.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$140-148 on pullbacks to 20-day MA

Time Horizon: 12-18 months

Thesis Invalidation: SiC demand reset, China revenue >25% decline, or FY26 revenue guide cut >10%

Hedging: Pair long ACLS / short AMAT or LRCX on relative SiC exposure divergence